



Credit Rating Agencies

These are agencies that assign ratings to companies based on their creditworthiness. Ratings such as AAA, AA, A, B, BBB and so on can be assigned. These ratings show how creditworthy a company is. Thus, these agencies must analyse financial statements to assign appropriate ratings.

These ratings can affect the borrowing rates of a borrower. Therefore, it is important that these ratings are correct and reflect the reality.

Suppose a company's Return on Capital (ROE) was 20% three years ago, and now it is 15%, which is a good ROE on a stand-alone basis.



However, if compared to previous years, we can observe that the company is facing a slight decline. Rating agencies need to reflect such changes in their ratings for the company.



The above are some entities and users that analyze financial statements on a day to day to basis. They can then go on and build financial models with different objectives on this detailed analysis of financial statements. Now you know why Financial statement analysis is such a critical skill in multiple finance domains.